

Project Hawthorn — Management Presentation

Prepared by Target Management · For Confidential Discussion Only · 2026-04 · Buyer side: Zava Conglomerate Strategy Office

1. Executive Summary

Target is a leading provider of industrial digital solutions across ASEAN. Revenue MYR 602M (FY2025), EBITDA MYR 83M (13.8% margin), 1,420 employees, presence in 4 countries. Founded 2014, profitable since FY2018, two priced equity rounds (Series A 2021, Series B 2023).

Management is seeking a strategic partner to (a) accelerate cross-ASEAN expansion, (b) deepen enterprise customer penetration, and (c) provide founder liquidity. Open to majority or 100% buyout structures.

2. Business Overview

Three business lines — Industrial Automation Solutions (54% rev), Digital Operations Platform (28%), Managed Services (18%). All three positive contribution; Platform fastest-growing (+38% YoY).

Customer base: 86 enterprise accounts. Top-3 concentration 31% (up from 22% in FY2023 — a trend the buyer should evaluate).

3. Market & Strategy

ASEAN industrial digitalisation TAM estimated USD 4.2bn (2025), growing 11% CAGR through 2030. Target current market share ~3%, fragmented competitive landscape.

Strategic priorities (next 36 months): (1) win 4 Top-30 enterprise logos per year, (2) expand into Vietnam + Thailand, (3) deepen platform R&D; investment, (4) build verticalised offerings for banking, healthcare, plantation.

4. Financial Highlights

Revenue CAGR FY23-25: 11.8%. EBITDA margin expanded from 11.3% to 13.8% over 2 years. ROIC FY25 14.2%. Strong cash conversion (FCF / EBITDA ~26%).

FY2026 management plan: Revenue MYR 670M (+11%), EBITDA MYR 96M (14.3% margin), based on signed pipeline of MYR 142M and historical conversion rates.

5. Synergies (Indicative, Buyer to Validate)

Revenue: cross-sell to Zava's banking + healthcare divisions — estimated MYR 30-50M incremental revenue over 3 years.

Cost: shared services consolidation (HR, Finance, IT) — MYR 4-6M run-rate savings.

Capital: leverage Zava's balance sheet to accelerate inorganic moves.

6. Deal Considerations

Valuation indication: EV MYR 720-780M implying 8.5-9.0x FY25 adjusted EBITDA. Founder rollover available up to 25%. Indemnity package: 12 months G&W, 18 months tax, 60 months fundamentals.

Conditions precedent expected: regulator approval (3 of 4 jurisdictions), customer #1 consent (change-of-control), lender consents (senior facility), waiver of preferred share liquidation preference.

7. Risks (Management View)

Customer #1 termination-on-CoC clause. Top-3 concentration trend. Series B preference (full ratchet anti-dilution). Senior facility CoC clause. CEO + CTO retention post-deal.

8. Suggested Timeline

Q2 2026 — Confirmatory DD; Q3 2026 — Negotiation + SPA; Q4 2026 — Regulator filings; Q1 2027 — Closing.